LDR 6445 – Corporate Sponsorships

Olympic Marketing Fact File Worksheet

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1. List at least three fundamental objectives of Olympic Marketing.

- These are the three objectives I found to be the most interesting/important for the overall marketing strategies and policies in the Olympic Games.

   A. To ensure that the Olympic Games can be experienced by the maximum number of people throughout the world principally via broadcast coverage

   B. To enlist the support of Olympic marketing partners in the promotion of the Olympic ideals

   C. To generate revenue to be distributed throughout the entire Olympic Movement – including the OCOGs, the National Olympic Committees (NOCs and their continental associations, the International Federations (Ifs) and other recognized international sports organizations – and to provide financial support for sport in emerging nations

2. List at least three of the programmes that The Olympic Movement utilizes to generate revenues.

   A. Broadcast Partnerships

   B. The Olympic Partner (TOP) Programme

   C. IOC Official Supplier and Licensing Programme

- The Olympic Movement generates revenue through several programs: the IOC manages broadcast partnerships, the TOP worldwide sponsorship programme and the IOC official supplier and licensing programme. The NOCs, OCOGs, and IFs also generate revenue through their own commercial programmes.

3. List the highest and lowest broadcast revenue generating Olympic Games through TOP Programme revenue contributions.

   Highest: <u>2013 – 2016 Olympic Games generated a total of 5,160 million USD in revenue with 4,157 from Broadcast & 1,003 from TOP Programme.</u>

   Lowest: <u>1993 – 1996 Olympic Games generated a total of 1,530 million USD in revenue with 1,251 from Broadcast & 279 from TOP Programme.</u>

4. List at least three programme benefits that sponsorship provides to the Olympic Games.

A. Sponsors provide direct support for the training and development of Olympic athletes and hopefuls around the world, as well as the essential services for athletes participating in the Games.

B. Sponsors develop advertising and promotional activities that help promote the Olympic ideals, heighten public awareness of the Olympic Games and increase support for the Olympic athletes

C. Sponsors provide support for the staging of the Olympic Games and the operations of the Olympic Movement in the form of products, services, technology, expertise, and staff deployment

5. From the 1985-1988 Quadrennium to the 2005-2008 Quadrennium, how much more revenue do TOP Programme sponsorships provide to the Olympic movement?

From the 1985 – 1988 Calgary/Seoul Olympic Games, in the TOP Programme there were 9 partners, 159 participating NOCs, and a total of 96 million USD in revenue generated. This compares to the 2005 – 2008 Turin/Beijing Olympic Games where in the TOP Program there were 12 partners, 205 participating NOCs, and a total of 866 million USD in revenue generated. This is a total difference of 770 million more dollars generated in revenue.

6. List the two longest standing and two of the more recent TOP Partners.

Longest Standing: Coca Cola (1986) & VISA (1986)

Most Recent: Airbnb (2019) & Toyota (2017)

7. What three Summer and three Winter Olympic Games had the highest number of countries broadcast the Games?

Summer Games: London 2012 (3.6 billion reached), Beijing 2008 (3.5 billion reached), & Rio 2016 (3.2 billion reached)

Winter Games: Sochi 2014 (2.1 billion reached), PyeongChang 2018 (1.92 billion reached), & Vancouver 2010 (1.8 billion reached)

8. What two Summer and two Winter Olympic Games generated the highest revenues for the Games?

Summer Games: Rio 2016 and London 2012 generated the highest revenues for the Summer Olympic Games

Winter Games: Sochi 2014 and PyeongChang 2018 generated the highest revenues for the Winter Olympic Games. Vancouver 2010 was close with revenue generated numbers looking very similar to Sochi 2014.

The numbers are generated from IOC revenue from Broadcast/TOP Programme, OCOGs revenue, and NOCs generating revenue through their own domestic commercial programmes.

9. How much did the United States pay NBC for broadcast rights to the 2008 Bejing Olympics?

The United States paid approximately 894 million dollars for 3,600 coverage hours during the 2008 Beijing Olympics (Fox Sports, 2012). Furthermore, North America (US and Canada) for the 2005 – 2008 Olympic Games spend 1,579 million USD for broadcast rights and fees.

10. Which Summer Olympic Games generated the highest revenue total through their Olympic Ticketing Programmes?

The London 2012 Summer Olympic games generated a total of 988 million USD in revenue to the OCOG through Ticketing Programmes. They were able to sell 8.2 of 8.5 million tickets available for a massive return.

11. Which Winter Olympic Games generated the highest revenue total through their Olympic Ticketing Programmes?

The Vancouver 2010 Winter Olympic games generated a total of 250 million USD in revenue to the OCOG through Ticketing Programmes. They were able to sell 97% of their tickets available for a substantial return.

12. How much licensing revenue did the 1988 Summer Olympics generate as compared to the 2008 Beijing Games?

The 1988 Summer Olympics in Seoul generated 62 Licenses for a total of 19 million USD in revenue to the OCOG. This compared to the 2008 Beijing Games which generated 68 Licenses for a total of 163 million USD in revenue to the OCOG. The Beijing licensing program was a great success because of the fact that it offered a widespread and comprehensive product range. This product range was the largest in Olympic Games history with over 1,000 retail units offering more than 8,000 merchandise items.

13. How much revenue has the Olympic Coin Programme generated in modern times?

The first Olympic Coin Programme (Munich 1972) was dedicated to raising revenues to offset the cost of the Olympic Games. There was coordination between the Ministry of Finance and the Bundesbank in Germany which gave birth to the coin programme with all revenues directed to the OCOG. There was over 300 million raised which allowed the government to avoid increased taxation from paying for the cost of the games.

In 1994 the IOC launched a programme specifically designed to celebrate the Centenary of the Olympic Movement. In collaboration with the mints of Canada, Australia, France, Austria, and Germany, five consecutive series of three coins were created to pay tribute to the founding of the IOC, its ideals, and the first edition of the Modern Olympic Games that took place in Athens 1896. Through this programme, a total of 93,879 gold and 526,750 silver coins were sold, representing a sales value of USD 48.4 million, making it one of the most successful coin programmes of that period.

It is likely that the Olympic Coin Programme has generated over 1 billion dollars in modern times.

References

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